AMREP Corporation (NYSE: AXR): Long

15,300 Free Acres.

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Background and Summary

AMREP Corporation is a $110M New Mexico land company with $48.7M of cash and Treasuries, a modest-scale homebuilding enterprise, and about 16,200 acres in and around Rio Rancho. At $20.72, its cash, homes, rental houses, and near-term development land alone are worth roughly the share price. Investors are therefore not paying for the remaining 15,300 acres of undeveloped land, which is comparable to the tracts AMREP has sold in bulk for about $4,600 per acre over the past two years.

The stock is down 46% from its December 2024 high; land sales have since stalled and quarterly EPS fell to $0.05. The only covering analyst values AMREP solely on five-year earnings, not on its assets. Yet its largest individual shareholder, James Dahl, has purchased about 67,000 shares this year at an average price of approximately $25.

AMREP founded Rio Rancho in the 1960s, sold its newsstand and fulfillment businesses in 2015 and 2019, and is now purely a real estate company with 52 employees. Fiscal 2026 (May 2025–April 2026) revenue was $52.8M. It has $17K of debt, $4.5M of total liabilities, and total equity of $141.1M. Land is carried at $65.6M, which is the 1960s cost plus subsequent improvements.

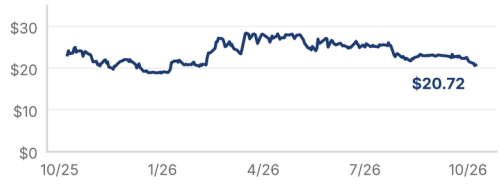
AMREP sells land to homebuilders and builds homes itself. In fiscal 2026, it sold developed residential land for $820,000 per acre and closed 65 home sales at a $441,000 average price and 24% gross margin. Ownership is concentrated: the Russo family holds 24%, Dahl 19%, and director Robert Robotti 10%.

In November 2025, AMREP moved about 17,700 scattered Rio Rancho lots into its Arroyos LLC subsidiary. It also shifted its mineral rights (under ~55,000 surface acres) into another subsidiary, Southwest Mineral Company LLC. The county assessor records now show Arroyos holding approximately 17,000 parcels, which, together with AMREP's other subsidiaries, reconciles to the 10-K's ~16,200 acres.

Investment Summary

Recommendation	**LONG**
Price Target (2-yr NAV)	$26.50
Current Price (10/8/26)	$20.72
Implied Upside	27.9%
Timeline	24 Months
52-Week Range	$18.80 – $28.39
NAV per Share	
Bear / Base / Bull	$14.16 / $23.95 / $42.41
Market Data	
Market Cap	$110.3M
Enterprise Value	$61.7M
EV / EBITDA (FY2026)	4.8x
Price / Book	0.78x
Dahl + Russo Family + Robotti	~52%
Avg. Daily Value Traded	~$195K
Income Statement FY2026	
Revenue	$52.8M
Home sales	$28.7M
Land sales	$20.6M
Net Income	$10.3M
Balance Sheet (7/31/26)	
Cash & Treasuries	$48.7M
Total Debt	$0.02M
Book Equity	$141.1M
Land Owned	~16,200 acres

Price Chart – 1Y



Source: Bloomberg, company filings, author estimates (NAV).

Investment Thesis

1. **At $20.72, AMREP's assets other than raw land cover the share price, so investors pay nothing for the 15,300 raw acres. At conservative base-case values:**

Component	Value ($M)	Per Share ($)
Non-land net assets (cash, homes, rentals, less liabilities)	76.43	14.35
Near-term land (lots, commercial, development)	42.04	7.90
Less: head-office overhead (4x G&A)	(6.97)	(1.31)
Total (before any raw land)	**111.50**	**20.94**

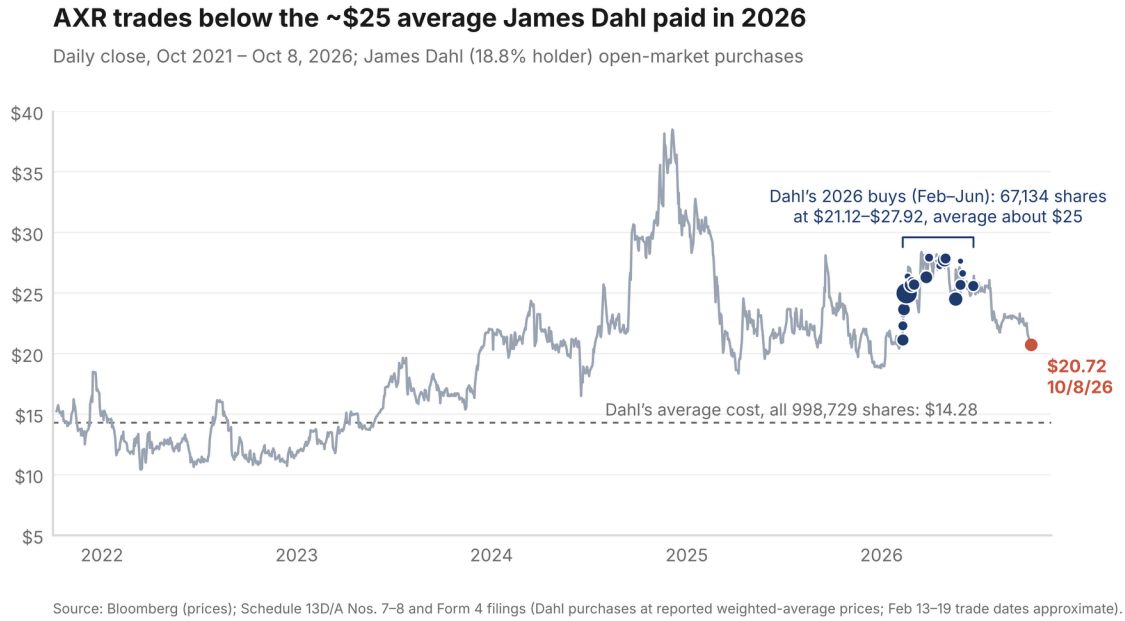
The per-share value of the assets, without raw land, is already roughly the current share price; the share price values the 15,300 raw acres at about zero. Measured against book value instead, the share price implies $2,150 per acre for all of AMREP's land, which is 0.53x the book value. AMREP's land sale history suggests otherwise, as two recent bulk sales of 549 and 467 acres went for $4,557 and $4,655 per acre, respectively, while smaller undeveloped parcels averaged about $36K per acre in fiscal 2026, excluding the bulk sale. The stock only requires raw land to be worth a minimum of $1,450 per acre for the base-case NAV to equal the share price. About half of the raw acres are scattered lots where AMREP owns under half the parcels, which is likely why investors ignore them. This barely affects the case, however, as valuing that half at zero would only reduce NAV by $0.69, to $23.26.

2. **Potential downside is cushioned by cash.**

Cash and Treasuries are worth $9.14 per share, 44% of the price, and there is effectively no debt. In the bear case, raw land is worth only $2,000 per acre and takes approximately 38 years to sell, near-term land sells at discounted prices, and overhead is capitalized at 6x. NAV still comes to $14.16 (–32%), roughly the value of the non-land assets alone.

3. **AMREP's largest individual shareholder added to his stake in 2026 at an average well above today's.**

James Dahl first filed a Schedule 13D in May 2021 disclosing 519,782 owned shares, stating he bought because shares were undervalued. Currently, he owns 998,729 shares (18.8%). In 2026, he purchased approximately 67,000 additional shares between $21.12 and $27.92, at an average of about $25. His all-time average price paid is $14.28 per share, so he is a long-term holder adding to his position rather than averaging down.



Source: Bloomberg (prices); Schedule 13D/A Nos. 7–8 and Form 4 filings (Dahl purchases at reported weighted-average prices; Feb 13–19 trade dates approximate).

4. **The board has returned capital at scale before.**

In March 2022, AMREP purchased 2,096,061 shares, or 28.6% of the company, from the estate of Nicholas Karabots (the largest shareholder at the time) at $10.45 per share, 9% below the market price. It was a negotiated one-time purchase, not a policy, but it demonstrates that the board will act when the price is right. Presently, AMREP has $48.7M of cash with no stated purpose for it.

5. **The market prices the earnings, not the land.**

The only covering analyst values AMREP on a five-year earnings DCF, so when management paused land sales, his price target fell from $30 to $22 even though the land was unchanged. On FY2026 EBITDA it looks cheap at 4.8x, compared to 8.0x for Forestar and ~20x for Stratus and St. Joe, though FY2027 EBITDA is expected to fall to about $3.8M. Additionally, it is the only one of these companies with net cash. Previous public bull cases failed due to a reliance on peak earnings or $10K–$11K small-parcel land prices. Even with raw land valued at AMREP's bulk price, the stock trades below NAV.

Catalysts

There is no hard catalyst; this is a patient position where the cash and near-term land protect the downside.

Catalyst	Timing	What to watch
Q2 FY2027 results	~Dec 11, 2026	Any developed lot closings; 23 homes under contract ($12.5M value) at Jul 31
Land sales	FY2028	The covering analyst models revenue recovering from $35M (FY2027) to $45M (FY2028); each bulk raw sale also reconfirms the ~$4,600/acre price
Capital return	Any time	$48.7M of idle cash; the 2022 block buyback of 28.6% of shares shows the board will act; Dahl's 13D reserves the right to engage the board
Sale of the company	Unscheduled	Homebuilders buy land pipelines: D.R. Horton bought 75% of Forestar (2017) and Vidler Water (2022)

Shareholder pressure has worked at a similar company recently. Tejon Ranch, another under-monetized landowner, was transformed after activist investors won a board seat in May 2025; within a year, under a new CEO, it announced about $3.5M of annual cost cuts and gave shareholders the right to call special meetings. At AMREP, such change would have to come from Dahl, the Russo family, and director Robert Robotti, who together own 52.5% of the company, not an outside activist investor.

Merger and acquisition precedents for similar land-rich companies:

Target / acquirer	Year	Buyer type	Premium
Pope Resources / Rayonier	2020	Outside strategic	+38%
Forestar / D.R. Horton (75%)	2017	Outside homebuilder	+26%
Vidler Water / D.R. Horton	2022	Outside homebuilder	+7%
HomeFed / Jefferies	2019	Holder already owning 70%	+5%

Outside buyers have paid 7–38%; the one insider buyout paid 5%.

Risks

The biggest risk is that the discount never closes because management does not pursue the most profitable strategy within the holding window. Second is bulk raw land selling below about $1,450 per acre. Third is management spending the excess cash on an outside acquisition, or holding the land indefinitely and burning cash on overhead. Land and home sales also depend on the Rio Rancho housing market, where AMREP's average home price fell 6% year over year last quarter. Key risks and mitigants are summarized below:

Risk	Mitigant
Low-premium buyout: Dahl, the Russos, and Robotti own ~52%; HomeFed's minority got a 5% premium in 2019; Dahl's average cost is ~$14	Dahl's 2026 buys averaged ~$25, above today's price
Slow, thin land market: About half the raw acres sit where AMREP owns under 50% of parcels; each bulk sale went to a single buyer	Base case already assumes bulk prices, a 26-year sell-out, and $1M a year of carry
New Mexico housing: Q1 average home price fell to $407K; one buyer took 78% of Q3 FY2026 land revenue	Homes under construction rose to 83 from 62
Liquidity: ~$195K traded a day; 44% free float	Suits a small fund that can build a position over weeks

Valuation

Sum-of-the-Parts NAV						
($ in millions, except per share)	**Bear**	**Base**	**Bull**	**Bear**	**Base**	**Bull**
			Value ($M)			*Per share ($)*
Cash & Treasuries (incl. $0.4M restricted)	49.1	49.1	49.1	9.21	9.21	9.21
Homebuilding inventory	10.6	11.7	12.9	1.98	2.20	2.42
Rental homes (~30)	9.6	10.6	12.0	1.81	1.99	2.26
Other assets	3.8	3.8	3.8	0.72	0.72	0.72
Deferred tax asset	2.9	5.8	5.8	0.54	1.08	1.08
Less: total liabilities	(4.5)	(4.5)	(4.5)	(0.85)	(0.85)	(0.85)
Non-land net assets	**71.4**	**76.4**	**79.0**	**13.41**	**14.35**	**14.84**
217 finished lots	9.3	15.2	19.3	1.74	2.86	3.63
68 commercial acres	4.6	12.7	30.8	0.87	2.38	5.78
358 acres under development	4.1	7.3	12.8	0.76	1.38	2.40
1,204 acres in named projects	2.2	6.8	29.6	0.42	1.28	5.57
Near-term land	**20.2**	**42.0**	**92.5**	**3.79**	**7.90**	**17.38**
15,300 raw acres, net of carry	(5.8)	16.1	78.2	(1.08)	3.01	14.69
Mineral rights	0.0	0.0	2.0	0.00	0.00	0.38
Tax on land value above book	0.0	0.0	(22.5)	0.00	0.00	(4.22)
Head-office overhead (capitalized)	(10.5)	(7.0)	(3.5)	(1.96)	(1.31)	(0.65)
NAV	**$75.4**	**$127.5**	**$225.8**	**$14.16**	**$23.95**	**$42.41**
Upside / (downside) vs. $20.72				*(32%)*	*+16%*	*+105%*

5,324,849 shares outstanding. Balance sheet at Jul 31, 2026 (Q1 FY2027 10-Q). Figures on this page may not sum due to rounding.

Key Assumptions			
	Bear	**Base**	**Bull**
Raw land price today ($/acre)	2,000	**4,600**	8,000
Raw acres sold per year	400	**600**	1,000
Years to sell 15,300 raw acres	38	**26**	15
Raw land price growth	0%	**0%**	3%
Raw land carrying cost ($M/yr)	1.5	**1.0**	0.5
Finished lot value ($/lot)	60,000	**85,000**	100,000
Commercial land ($/acre)	150,000	**300,000**	570,000
Under-development land ($/acre, net)	20,000	**30,000**	45,000
Named-project land ($/acre)	4,600	**10,000**	33,500
Discount rate	12%	**10%**	8%
Tax rate on value above book	25%	**25%**	21%
Overhead multiple (x $1.7M corporate G&A)	6.0x	**4.0x**	2.0x

Base raw price = AMREP's bulk sales: 549 acres at $4,557 (FY2025), 467 acres at $4,655 (FY2026).

Price Target Build	$ / share
Base-case NAV today	$23.95
+ Year 1 accretion	$1.24
+ Year 2 accretion	$1.34
Base-case NAV in 2 years	$26.53
Price Target (rounded)	**$26.50**
Current Price (10/8/26)	$20.72
Implied Upside	**27.9%**
Range: Bear / Bull NAV today	$14.16 / $42.41

Accretion = 10% unwind of land PV net of overhead, plus after-tax interest on cash.

What the Share Price Implies for the Land	
Market capitalization ($M)	110.3
Less: non-land net assets at book ($M)	(75.5)
Implied value of all land ($M)	**34.9**
Land at book ($M)	65.6
Implied value ÷ book	0.53x
Implied value per acre (16,200 acres)	**$2,152**
Realized bulk raw price, FY2025 / FY2026	$4,557 / $4,655
Raw price at which base NAV = $20.72	$1,453
Tejon Ranch (TRC), EV per acre	~$2,000

Notes

Overhead. Corporate G&A ($1.7M a year) is capitalized at 4x rather than over the full 26-year sell-out because homebuilding, valued here at inventory only, earned about $4.9M pre-tax in FY2026, roughly 3x corporate G&A. Charging overhead for the full sell-out would lower base NAV to $22.28.

Acreage. The 10-K's acreage categories sum to about 16,930 acres versus its stated 16,200. Removing the 730-acre difference from raw land lowers base NAV by $0.04 per share.

Scattered lots. About half the raw acres are scattered lots. Valuing that half at zero lowers base NAV by $0.69, to $23.26.

Raw acres sold / year	Base-case NAV per share by raw land price ($/acre)				
	$2,000	**$3,000**	**$4,600**	**$6,000**	**$8,000**
300	$20.19	$20.75	$21.65	$22.43	$23.55
400	$20.57	$21.30	$22.48	$23.50	$24.96
600	$21.28	$22.31	**$23.95**	$25.39	$26.93
800	$21.88	$23.14	$25.16	$26.53	$28.42
1,000	$22.38	$23.82	$25.94	$27.45	$29.61

All other inputs at base case. Shaded cells fall below the $20.72 share price.

Sources: AMREP FY2026 10-K and Q1 FY2027 10-Q; Sandoval County Assessor and Clerk records; Bloomberg (price, peers). Raw land value = present value of bulk sales over the sell-out period less annual carrying cost. Full model available on request.

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